IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No.302

CA(CAA)/8(AHM)2023

Order under Section 230-232 of Co. Act, 2013

IN THE MATTER OF:

Tarpan Prints Private Limited **.....Applicant**
Vidhata Synthetics Pvt Ltd

Order delivered on 22/09/2023

Coram:

Mrs. Chitra Hankare, Hon'ble Member(J)
Dr. Velamur G Venkata Chalapathy, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-Sd-

DR. V. G. VENKATA CHALAPATHY
MEMBER (TECHNICAL)

-Sd-

CHITRA HANKARE
MEMBER (JUDICIAL)

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NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
(COURT NO. II)

CA (CAA) 08/AHM/2023

IN THE MATTER OF THE COMPANIES ACT, 2013
[In the matter of Sections 230-232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013]

SCHEME OF AMALGAMATION

OF

TARPAN PRINTS PRIVATE LIMITED,
(Transferor Company)

WITH

VIDHATA SYNTHETICS PRIVATE LIMITED,
(Transferee Company)

AND

Their Respective Shareholders and Creditors

Order Pronounced on:22.09.2023

Coram:
CHITRA HANKARE,
HON'BLE MEMBER (JUDICIAL)

DR. V. G. VENKATA CHALAPATHY,
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

TARPAN PRINTS PRIVATE LIMITED,
(CIN: U22211GJ1995PTC025077)
Registered office at;
Plot No. 2, Block No. 48, Village Vareli,
Kadodara, Surat, Gujarat, India.

... Transferor Company

AND

VIDHATA SYNTHETICS PRIVATE LIMITED,
(CIN: U17119GJ1996PTC031232)
Registered office at;
Block No. 47, B/H Jaybharatsona Mill,
Kadodara Road, Village, Vareli, Dist. Surat,
Gujarat, India.

...Transferee Company

Appearance:
For the Applicants: Mr. Dhiren Dave, Advocate

ORDER

1. The present joint application is filed under Sections 230-232 of the Companies Act, 2013 (hereinafter referred to as **''the Act''**) read with the Companies (Compromise, Arrangement and Amalgamations) Rules, 2016. The proposed Scheme of Amalgamation is between Tarpan Prints Private Limited (**"Transferor Company"**) with Vidhata Synthetics Private Limited (**"Transferee Company"**) and their respective Shareholders and Creditors with effect from the Appointed Date i.e. 1st April, 2022.

2. Affidavit is filed in support of the Application sworn for and on behalf of Applicant Companies by Mr. Prakash Surendra Agrawal being authorized director for both the Applicant Companies.

3. The Transferor Company is having CIN: U22211GJ1995PTC025077 was incorporated on 20.03.1995 and having its Registered office at; Plot No. 2, Block No. 48, Village: Vareli, Kadodara, Surat, Gujarat, India. The Authorised Share Capital of the Transferor Company is Rs. 3,00,00,000/- which is divided into 30,00,000 Equity Shares of Rs. 10/- each. The Subscribed and Paid-up Share Capital of the Company is Rs. 1,66,50,000/- which is divided into 16,65,000 Equity Shares of Rs. 10/- each.

4. The Transferee Company is having CIN: U17119GJ1996PTC031232 was incorporated on 05.12.1996 and having its Registered office at; Block No. 47, B/H Jaybharatsona Mill, Kadodara Road, Village; Vareli, Dist. Surat, Gujarat, India. The Authorised Share Capital of the Transferee Company is Rs. 2,00,00,000/- which is divided into 20,00,000 Equity Shares of Rs. 10/- each. The Subscribed and Paid-up Share Capital of the Company is Rs. 1,77,30,000/- which is divided into 17,73,000 Equity Shares of Rs. 10/- each.

5. According to Applicant the registered offices of both the applicant companies are situated within the territorial jurisdiction of Registrar of Companies, Ahmedabad, Gujarat, which falls under the jurisdiction of this Tribunal.

6. The Applicant Companies carry on textile-related business and have filed their respective Memorandum and Articles of Association inter alia delineating their object clauses along with their latest Audited Financial Statements for the F.Y. 2021-2022 and also filed their Provisional Balance Sheet for the F.Y. 2022-2023, respectively. The Applicant Companies have placed on record their Valuation Reports dated 4th August, 2023 prepared by Registered Valuer, CA Jigar P Shah (IBBI registration Number- IBBI/RV-E/06/2021/146).

7. The Applicant Companies submitted the benefit of the Scheme of amalgamation stated as under:

> *"Both the Applicant Companies are under the same management and are going concerns. Upon amalgamation, there shall be drastic reduction of expenses with centralized management. The strategically combining the resources under one roof with the same management shall enhance the goodwill and will strengthen the strategies position in the market with additional secondary advantage of reduction in expenditure and centralizing the business under one roof. There are multiple synergic benefits and advantages of the amalgamation of the Transferor Company with the Transferee Company.*

8. The Board of Directors of both the Applicant Companies have unanimously approved the proposed scheme of amalgamation as contemplated above. Copies of the respective board

resolutions of both the Applicant Companies dated 05.10.2021 and 15.09.2021 passed in their respective board meetings have been placed on record. The certificates issued by the Statutory Auditor under section 133 of the Companies Act, 2013, of both the Applicant Companies are placed on record.

9. It is further submitted by the Applicant Companies that provisions of the Competition Act, 2002 are not applicable to the present Scheme and no notice is required to be issued to the said authority. There are no foreign shareholders in the Transferor Company. Further, no new shares are being allotted to any non-resident and, therefore, notice to RBI is not required.

10. The Applicant Companies have submitted that no investigation proceedings are pending against the Applicant Companies under sections 210 to 226 of the Companies Act, 2013 as well as Sections 235 to 251 of the Companies Act, 1956.

11. With respect to the **Transferor Company,** it is stated that:

    a) There are 14 (Fourteen) Equity Shareholders and certificate from Chartered Accountant certifying the list of shareholders is annexed with the application. All Equity Shareholders have given their consent by way of affidavits for the proposed scheme. The consent by way of affidavits of all Equity Shareholders are annexed with the application. Hence, the Transferor Company is seeking

dispensation for holding/convening the meeting of Equity Shareholders.

b) There are no Secured Creditors in the Transferor Company. A certificate from Chartered Accounted certifying the NIL Secured Creditors is annexed with the application. Hence, the question of holding the meeting of creditors does not arise.

c) There are no Unsecured Creditors in the Transferor Company. A certificate from Chartered Accounted certifying the NIL Secured Creditors is annexed with the application. Hence, the question of holding the meeting of creditors does not arise.

12. With respect to the **Transferee Company,** it is stated that:

a) There are 13 (Thirteen) Equity Shareholders and certificate from Chartered Accountant certifying the list of shareholders is annexed with the application. All Equity Shareholders have given their consent by way of affidavits for the proposed scheme. The consent affidavits of all Equity Shareholders are annexed with the application. Hence, the Transferee Company is seeking dispensation for holding/convening the meeting of Equity Shareholders.

b) There is 1 (One) Secured Creditor and certificate from Chartered Accountant certifying the list of the Secured Creditors is annexed with the application. The Secured Creditor has given their consent by way of affidavit for proposed scheme. The consent affidavit of the Secured Creditor is annexed with the application. Hence, the

Transferee Company is seeking dispensation for holding/convening the meeting of Secured Creditor.

c) There are 65 Unsecured Creditors and certificate from Chartered Accountant certifying the list of the Unsecured Creditors is annexed with the application. The company is seeking direction for holding and convening the meeting of Unsecured Creditors.

13. We have heard Learned Counsel, Mr. Dhiren Dave representing the Applicant Companies and perused the documents and affidavits annexed with the application. It appears that the present Company Application complies with all provisions of Sections 230-232 of the Companies Act, 2013 and Rules provided thereunder.

14. Taking into consideration the submissions and the documents filed therewith, we passed the following orders:

i) **<u>In relation to Transferor Company</u>:**

a. <u>With respect to Equity Shareholders:</u>

The meeting of the Equity Shareholders of the Transferor Company is hereby dispensed with.

b. <u>With respect to Secured and Unsecured Creditors</u>:

The meeting of the Secured and Unsecured Creditors of the Transferor Company is not required as there are no Secured and Unsecured Creditors.

ii) **In relation to the Transferee Company:**

a. With respect to Equity Shareholders:

The meeting of the Equity Shareholders of the Transferor Company is hereby dispensed with.

b. With respect to Secured Creditors:

The meeting of the Secured Creditor of the Transferee Company is hereby dispensed with.

c. With respect to Unsecured Creditors:

The Transferee Company is directed to convene and hold the meeting of the Unsecured Creditors.

The meeting of the Unsecured Creditors shall be convened and held on Tuesday, 31.10.2023 at 11.00 a.m. at Block No. 47, B/H Jaybharatsona Mill, Kadodara Road, Village: Vareli, Surat – 394327, Gujarat, India for the purpose of considering and, if thought fit, approving with or without modifications the proposed Scheme.

iii) Notice for the convening of the said meeting, indicating the day, date, place, and time, as aforesaid, shall be published in English daily, "Business Standard" Ahmedabad Edition and a Gujarati translation thereof in "Gujarat Guardian", Ahmedabad Edition, at least 30 days prior to the date of the meeting. The publication shall indicate the time within which copies of the scheme shall be made available to the concerned persons free of charge from the respective registered office of both the Applicant Companies. The

publication shall also indicate that the statement required to be furnished according to the section 102 of the Companies Act, 2013 read with Section 230 to 232 of the Companies Act, 2013 and the prescribed form of proxy can be obtained free of charge at the registered office of both the Applicant Companies in accordance with the second proviso to sub-section 3 of Section 230 and rule 7 of the Companies (CAA) Rules, 2016.

iv) In addition, at least one month before the date of the meeting of the Unsecured Creditors of the Transferee Company to be held as aforesaid, a notice convening the said meeting, indicating the day, date, place and time, as aforesaid, together with a copy of the scheme, a copy of the statement required to be furnished pursuant to section 102 of the Act read with Sections 230 to 232 and Rule 6 of the Companies(CAA) Rules, 2016 shall be sent to each of the Unsecured Creditors of the Transferee Company at their respective registered or last known addresses either by Registered post or speed post/Airmail or e-mail, by courier or by hand delivery. The notices shall be sent to the Unsecured creditors of the Transferee Company with reference to the list of the persons appearing on the record of the Applicant Companies.

v) Mr. Shymanand S. Chaudhari (Partner of S.S. Chaudhari & Associates), Chartered Accountant shall be the Chairman of the aforesaid meetings of the Unsecured Creditors of the Transferee Company and in respect of any adjournment thereof.

vi) Mrs. Pinal Shukla, Company Secretary is appointed as Scrutinizer for the aforesaid meetings of the Unsecured Creditors of the Transferee Company and in respect of any adjournment thereof.

vii) The Chairman appointed for the aforesaid meetings of the Unsecured Creditors of the Transferee Company shall issue the advertisements and send out the notices of the meeting referred to above. The Chairman/Chairperson is free to avail the services of the Applicant Companies or any agency for carrying out the aforesaid directions.

viii) The Chairman shall have all powers under the Articles of Association of the Applicant Companies and also under the Rules in relation to the conduct of meetings, including for deciding any procedural questions that may arise at the meetings or adjournment(s) to the aforesaid scheme or resolution, if any, proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the meeting of the Unsecured Creditors of the Transferee Company.

ix) The quorum for the meetings of the Unsecured Creditors will be determined by the Chairman in such a manner that Creditors present in the meeting represent at least 25% and 50% in value as a whole of the class of Creditors.

x) In case, the quorum is not present within half an hour from the time appointed for holding the meetings, then the Chairman shall adjourn the meetings to the same day in the next week at the same time and place. The intimation

about the adjourned meetings should be given to each creditor as the case may be through e-mail or by any other mode. If the quorum is still not present on such adjourned date, then the Chairman may furnish a report to that effect to NCLT within seven days thereafter.

xi) The meetings shall be held physically or through video conferencing and voting shall be conducted through poll by polling paper or e-voting facility and the Unsecured Creditors present in person or by proxy shall be entitled to vote thereat. Subject to the directions and matters dealt with herein, the procedure for remote e-voting and voting by polling paper at the venue of the meetings shall be in so far as the same is prescribed by the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014, Secretarial Standards on General Meetings and the forms prescribed thereunder shall be followed with such variations as may be required in the circumstances and in relation to the resolution for approval of the Scheme of Amalgamation.

xii) The Chairman shall be responsible to report the result of the meetings to the Tribunal in Form No. CAA-4, as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within 7 (Seven) days of the conclusion of the meetings. The Chairman would be fully assisted by the Authorized Representative/Company Secretary of the Applicant Companies and the Scrutinizer in preparing and finalizing the reports.

xiii) All the aforesaid directions shall be complied with in accordance with the provisions of the Companies Act, 2013 and the Rules made thereunder, as applicable for the proposed Scheme of Amalgamation and any related or incidental matters, including but not limited to forms or formats as may be prescribed under the Rules, guidelines, standards, etc.

xiv) We direct the Transferee Company to pay a sum of Rs. 50,000/- to the Chairman and a sum of Rs. 25,000/- to the Scrutinizer as their fees.

xv) In compliance of sub-section (5) of Section 230 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Applicant Companies shall send a notice in Form No.CAA.3 along with disclosures mentioned under Rule 6 shall be sent to **(i)** the Central Government through the Regional Director, North Western Region, **(ii)** the Registrar of Companies, Gujarat, and **(iii)** Official Liquidator (in respect of Applicant Transferor Company) and **(iv)** to the Income Tax Department along with full details of assessing officer and PAN numbers of both the Applicant Companies with a copy also to the office of Principal Chief Commissioner of Income Tax and to such other Sectoral Regulatory Authorities who may govern the working of the respective companies involved in the Scheme, and representation, if any, to be made by them shall be made within 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed

Scheme. The said notices shall be sent forthwith by registered post or by speed post or by courier or by hand delivery or by an email at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representation under sub-section (5) of Section 230, shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which it will be deemed that they have no representation to make on the proposed amalgamation.

xvi) The Applicant Companies shall file a compliance affidavit with the Registry with regard to the directions given in this order.

xvii) List the matter on 3rd October, 2023 before the Joint Registrar for filing Chairman's Report.

-Sd-

DR. V. G. VENKATA CHALAPATHY
MEMBER (TECHNICAL)

-Sd-

CHITRA HANKARE
MEMBER (JUDICIAL)

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